

Recent Example: Ashwath was a classmate of mine with whom I walked through the 4-bucket system. I told him about the next-100 idea. He asked me what it meant and I replied: “*It means you know where the next 100 is going to go.*” He decided to allocate his salary in terms of

Category	Percentage
Fixed Costs – car EMI and petrol, telephone bills	15%
Investments – EPF, Index funds	10%
Savings – House downpayment, vacation treks	30%
Guilt-free spending – eating out, clothes, movies	40-50%

Per his next-100 breakdown, 15 would be toward fixed costs like car EMI and petrol. He doesn’t have more fixed costs because he stays at home with his parents and has no student debt. With his investments, 5 goes toward the employer match EPF [\[16\]](#) and another 5 toward a Nifty 50 Index fund for retirement. 30 of savings, splits between 25 for house downpayment and 5 for Himalayan trekking expeditions that he does every year. The remaining portion of 40-50 from guilt free spend gets spent irrationally. When he finished working this out he exclaimed, “*Unbelievable!!!*” and stopped speaking for a few minutes.

Since he works in technical sales at Saint Gobain, he gets to travel a lot and eating out is his second-giving of life. To impress clients, he spends quite a lot on clothes too. When he automated this allocation, it seemed unreal. Previously, he used to do things with money haphazardly. Now, he knows how much he can save, how many designer ties he can buy and how many times he could eat-out. Automation made sure the money from the salary account was disbursed into each bucket appropriately without him thinking about it.

After automation, this is how his cash flow works:

- i. Right when the salary is to be deposited, 5% goes toward the employer EPF match.